

COMMERCIAL APPLICATIONS

Maximum Marks: 100

Time allowed: Two hours

1. *Answers to this Paper must be written on the paper provided separately.*
 2. *You will **not** be allowed to write during the first **15** minutes.*
 3. *This time is to be spent in reading the question paper.*
 4. *The time given at the head of this Paper is the time allowed for writing the answers.*
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5. *Attempt **all** questions from **Section A** and **any four** questions from **Section B**.*
 6. *The intended marks for questions or parts of questions are given in brackets[].*

Instruction for the Supervising Examiner

Kindly read aloud the Instructions given above to all the candidates present in the Examination Hall.

This paper consists of 11 printed pages and 1 blank page.

SECTION A (40 Marks)

(Attempt *all* questions from this *Section*.)

Question 1

[20]

Choose the correct answers to the questions from the given options.

(Do not copy the questions. Write the correct answer only.)

- (i) Wages paid to the storekeeper is an example of _____.
- (a) semi-fixed cost
 - (b) fixed cost
 - (c) variable cost
 - (d) indirect cost
- (ii) _____ is/are a set of moral standards which businessmen are supposed to follow in their business operations.
- (a) Empathy
 - (b) Public relations
 - (c) Persuasion
 - (d) Ethics
- (iii) ABC Ltd. manufactures expensive, heavy and bulky factory equipment. Suggest the most suitable distribution channel.
- (a) Manufacturer → Consumer
 - (b) Manufacturer → Wholesaler → Retailer → Consumer
 - (c) Manufacturer → Retailer → Agent → Consumer
 - (d) Manufacturer → Agent → Retailer → Consumer

- (iv) Which of the following is a specialised market comprising of banks for providing short-term finance to business enterprises?
- (a) Capital Market
 - (b) Money Market
 - (c) Spot Market
 - (d) Commodity Market
- (v) A major benefit of advertising for consumers is that it:
- (a) sustains the press.
 - (b) helps meet competition.
 - (c) raises the standard of living.
 - (d) decreases market share.
- (vi) Identify the benefit of Receipts & Payments Account:
- (a) It shows the financial position of the organisation.
 - (b) It informs the main sources of income and items of payments.
 - (c) It helps to prepare a Balance Sheet.
 - (d) It reflects surplus and deficit of the organisation.
- (vii) When consumers continue to purchase due to faith in a brand's superiority, it is known as _____.
- (a) branding
 - (b) brand equity
 - (c) brand loyalty
 - (d) brand promotion

- (viii) Fixed deposit is also known as _____.
- (a) discounting of bills
 - (b) short term deposits
 - (c) bank draft
 - (d) time deposit
- (ix) The motive of a _____ interview is to see how candidates respond to awkward questions.
- (a) group
 - (b) patterned
 - (c) stress
 - (d) non-directive
- (x) **Statement 1:** Accounting authorities have developed certain basic rules to make accounting precise.
- Statement 2:** Generally Accepted Accounting Principles (GAAP) are not used by accountants all over the world.
- (a) Statement 1 is true and Statement 2 is false.
 - (b) Statement 1 is false and Statement 2 is true.
 - (c) Both Statements 1 and 2 are true.
 - (d) Both Statements 1 and 2 are false.

- (xi) Job evaluation, bonus, wage and salary administration are the _____ functions of Human Resource Management.
- (a) procurement
 - (b) integration
 - (c) compensation
 - (d) development
- (xii) Which energy is caused by the gravitational force of the sun and the moon?
- (a) Wind energy
 - (b) Geothermal energy
 - (c) Nuclear energy
 - (d) Tidal energy
- (xiii) **Assertion (A):** Selection is a positive process, and it ensures hiring of the best candidate.
- Reason (R):** Selection establishes a contact between job seekers and employers.
- (a) (A) is true and (R) is false.
 - (b) (A) is false and (R) is true.
 - (c) Both (A) and (R) are true and (R) is the correct explanation of (A).
 - (d) Both (A) and (R) are true, but (R) is not the correct explanation of (A).

- (xiv) Identify the process of developing managerial talent through appropriate programmes:
- (a) Performance and potential appraisal
 - (b) Training
 - (c) Executive development
 - (d) Career planning
- (xv) Neel Traders hired a skilled marketing manager Mr. Mohan. He greatly improved the sales. However, Mr. Mohan's value was not recorded in the books of accounts. Identify the accounting principle shown in the above statement.
- (a) The Business Entity Concept
 - (b) The Going Concern Concept
 - (c) The Matching Concept
 - (d) Money Measurement Concept
- (xvi) Identify the picture given below:



- (a) Manufacturing / Production
- (b) Sales promotion
- (c) Selling
- (d) Distribution

- (xvii) Which incident had a significant impact on global perceptions of nuclear energy safety?
- (a) Van Mahotsav
 - (b) Chernobyl Disaster
 - (c) Chipko Andolan
 - (d) Narmada Bachao Andolan
- (xviii) _____ means identifying and locating the potential buyers.
- (a) Prospecting
 - (b) Preparing
 - (c) Presenting
 - (d) Persuading
- (xix) *Commercial banks are required to keep a cash reserve with the Central Bank so as to control credit in the country.*
- With reference to the above, which function of the Central Bank / Reserve Bank of India is highlighted in the given statement?
- (a) Development function
 - (b) Banker to the Government
 - (c) Credit control
 - (d) Banker's Bank
- (xx) Public Relations appeared to be an integral part of the government in Ancient Times.
- (a) True
 - (b) False

Question 2

[10]

Answer the following questions:

- (i) Distinguish between:
 - (a) *Selling* and *Sales*
 - (b) *Public Sector Banks* and *Private Sector Banks*
- (ii) Justify the following sentences either **For** or **Against**, and give a reason for each of the following:
 - (a) There is no difference between advertising and sales promotion.
 - (b) Fixed cost remains constant within a given range of activity and time period.
 - (c) Personal selling is a mass selling method.

Question 3

Answer the following questions:

[10]

- (i) List *any four* causes of the Greenhouse effect.
- (ii) Define the term *persuasion*.
- (iii) Explain *Current Account* in brief.
- (iv) '*Human Resource Management is the nervous system of the organisation.*' Explain.
- (v) When Amazon introduced its *Kindle e-reader*, it set the initial price significantly low to entice readers to adopt the new technology and get quick popularity. Which pricing strategy did it adopt? Explain.

SECTION B (60 Marks)

(Answer *any four* questions from this *Section*.)

Question 4

- (i) *Advertising is more of a social waste than an economic necessity.* Give *any five* reasons to support the above statement. [5]
- (ii) What is Public Relations? Discuss *any three* characteristics of Public Relations. [5]
- (iii) Explain the procurement function of Human Resource Department. Discuss *any three* activities of the same. [5]

Question 5

- (i) Identify the type of advertising from the image given below. Specify *any four* features of the same. [5]



- (ii) Write short notes on: [5]
 - (a) Business Entity Concept
 - (b) Traditional channel of distribution
- (iii) Give *any five* differences between *Advertising* and *Personal Selling*. [5]

Question 6

- (i) How does campus recruitment help brilliant students to get a job? [5]
- (ii) Discuss *any five* advantages of opening a bank account. [5]
- (iii) Describe price mix in *three* sentences along with its elements. [5]

Question 7

- (i) Explain *any two* methods of selling. [5]
- (ii) Write *any five* features of a Receipts and Payments Account. [5]
- (iii) Discuss the various types of markets '*on the basis of position of buyers and sellers*'. [5]

Question 8

- (i) Write *any five* features of an *Automated Teller Machine*. [5]
- (ii) Enumerate the *first two* stages of marketing. [5]
- (iii) Explain *any two off-the-job* training methods. [5]

Question 9**CASE STUDY**

Patagonia, an outdoor clothing and gear brand, has long been a champion of environmental conservation. The company's Public Relations (PR) team has effectively used this advocacy to build a strong brand identity and engage with their audience and differentiate their brand.

Patagonia's PR team does not shy away from taking a stand on environmental issues. The company has launched various initiatives to promote environmental conservation, such as the "Don't Buy This Jacket" campaign, which encouraged consumers to think twice before making a purchase to reduce environmental impact.

Patagonia's PR team also communicates the company's environmental efforts regularly. They share stories about the company's conservation initiatives and sustainable practices. This communication helps to build trust with consumers and positions Patagonia as a brand that cares about more than just profits.

— Source: Edited, prthrive.com

- (i) Explain *any five* advantages of advertising to the manufacturers. [5]
- (ii) Discuss Patagonia's PR teamwork, towards building its brand identity. [5]
- (iii) How can we develop environmental values and ethics for saving the environment? [5]